

Article | 25 August 2026

GERMANY

## Germany's hot political autumn

The weather is cooling in Germany, but politics is heating up. Three state elections in a fortnight now decide how much authority the Merz government has left



Alice Weidel and Tino Chrupalla, co-chairpersons of Germany's far-right Alternative for Germany (AfD) party

It is Germany's super election year, and that is without a federal election. Two state elections at the start of the year, three more this autumn. State elections hit federal policymaking twice over: directly through the Bundesrat, which reviews every law parliament passes and can veto those touching state powers, and indirectly through the mood they set inside the parties and inside the governing coalition. A regional election is always that rare hybrid – a vote on local matters and local politicians, and a running poll on the popularity of the federal government.

Germany's election year got off to a relatively quiet start, but is about to end with a bang. In March, the Greens held Baden-Württemberg by some 27,000 votes over a CDU that gained almost six points and then lost the top spot in the final days of the campaign, and the CDU took Rhineland-Palatinate after 35 years of Social Democratic rule. The CDU escaped with bruises. Its junior partner in the federal government, the SPD, continued the downward trend of recent years.

Now three state parliaments are up within a fortnight: Saxony-Anhalt on 6 September, then Mecklenburg-Vorpommern and Berlin together on 20 September. Roughly 5.4 million people

are entitled to vote across the three, about 8% of the German electorate – and yet the outcome will set the political weather in Berlin for the remaining three years of this legislature, or could even end the coalition before the legislature officially does. In two of the three, the AfD leads. In the third, Die Linke does. In none of the three does the incumbent coalition still have a majority.

The timing is unkind. Friedrich Merz is one of the least popular chancellors ever; his party stands at some 21% in national polls, the SPD at 12, the AfD at 29. Government and country are struggling to agree on the far-reaching reforms needed to pull the economy out of a stagnation that has lasted far too long, regain competitiveness and confront structural challenges from demographic change to China's shifting role in the global economy. CDU and SPD agreed a reform package just before the summer, but not everyone in the parties supports it and implementation is cumbersome. The AfD, meanwhile, benefits from the government's inability – and at times unwillingness – to push reforms through quickly, and from the plain fact that reforms come at a cost.

### What the polls are telling us

The election that probably matters most for the bigger picture is **Saxony-Anhalt** on 6 September. Not because of its size – 2.2 million people, four Bundesrat votes, the eleventh-largest state – but because the AfD is polling above 42% and could, for the first time in the Federal Republic's history, supply a state premier. If it wins an absolute majority, the case is clean-cut. If it comes first without one, uncertainty increases rather than falls: every other party would have to squeeze into a single coalition, or one of them would become kingmaker as the AfD's junior partner.

The incumbent CDU has no comfortable way out. Sven Schulze took the premiership only in January, succeeding Reiner Haseloff after 15 years, and his CDU-SPD-FDP coalition has since shed roughly a quarter of its support. On current polling, exactly one majority exists that excludes the AfD: CDU plus Die Linke plus SPD, with about one seat to spare. One seat, for five years, with a partner the CDU's own federal resolution forbids it to govern with.

**Mecklenburg-Vorpommern** offers a slightly different example. The AfD leads at 36% with Leif-Erik Holm, but Manuela Schwesig's SPD is at 29% – an extraordinary number for a party polling around 12% nationally. Asked directly who should be premier, voters back Schwesig over Holm by 47 to 27. Just 12% want a CDU-led government at all.

Schwesig's coalition with Die Linke would nonetheless lose its majority. The likely repair is an SPD-Linke-CDU arrangement, which would put the CDU into government as the fourth-placed junior partner of a red-red coalition. Note the shape of that: to keep the AfD out, the CDU may end up governing with Die Linke in two states on the same fortnight.

**Berlin** is a different animal: 2.4 million voters, four Bundesrat votes, and an AfD that at 17% is

nearly double its 2023 result but nowhere near winning. The drama here is fragmentation: Die Linke, CDU, AfD, Greens and SPD are currently inside six percentage points, and every plausible majority needs three of them.

The CDU has fallen roughly nine points from its 2023 high, and Kai Wegner – the first conservative mayor of Berlin since 2001 – withdrew his candidacy in July after months of criticism over his handling of the January blackout, staying on only until a successor government is formed. Finance Senator Stefan Evers inherited the candidacy and the acting party chairmanship with 10 weeks to run. Die Linke, campaigning hard on rents and expropriation with Elif Eralp, currently leads.

### The AfD's grab bag of economic policies

Underneath these three horse races sits a broader story, and one that markets and the business community should be paying more attention to than they are: the rise of the AfD to Germany's largest political party, at least according to the polls.

On economic policy, the AfD remains a grab bag, or a surprise bag. What it actually wants is unclear; contradictions are not rare and very little has been committed to paper. The 2025 federal manifesto, adopted unanimously ahead of the federal election and still the binding party programme, contains an entire chapter demanding Germany's exit from the euro, a return to a national currency, gold repatriation and Target-2 "monetisation". It also called for higher pensions. The ZEW scored it as having the largest financing gap of any party's programme.

Earlier this year, the AfD's parliamentary group published a position paper on economic policy. Measured against the 2025 manifesto, the deletions are the headline. The entire monetary-sovereignty complex – euro exit, D-Mark, gold, Target-2, Bitcoin – the party's founding DNA from 2013, is absent without a trace. Russia policy is laundered into supply-chain language. What remains is dressed as poisoned fruit for the CDU: the paper builds its tax reform on Paul Kirchhof's proposals – the flat-tax architecture Angela Merkel brought into the 2005 campaign, and which the SPD then turned into the "professor from Heidelberg" caricature that nearly cost Merkel the chancellery – and defends the constitutional debt brake as sacrosanct. The AfD is handing the CDU back a weapon that once blew up in its hands.

Where the party does put numbers on paper, the numbers have now been checked. On 5 August, a month before polling day, the Halle Institute for Economic Research costed the AfD's Saxony-Anhalt programme. Of 136 cost-effective measures, 28 can be quantified by official sources, at roughly €1.6bn a year; add the €877m of already-planned borrowing the party's no-new-debt pledge would have to replace, and the annual financing need is about €2.5bn. Against that stand €243m of provable savings, on assumptions deliberately generous to the AfD. Less than ten cents of every promised euro is covered. The residual gap of at least €2.2bn equals roughly a quarter of the state's entire tax revenue – and it is a floor, since 108 of the

136 measures could not be costed at all. However, here is the uncomfortable part for anyone who believes costs win arguments. The study landed on 5 August. The AfD's polling has risen since.

And then there is the small matter of what the party leader says when the cameras are on. In the ZDF Sommerinterview on Sunday, filmed in Vienna where she was meeting the FPÖ, Alice Weidel walked through the entire case against the single currency: an unstable soft currency, a machine for redistribution, a country that was doing distinctly better before it. What she did not do was say plainly that an AfD government would take Germany out of the eurozone. The argument was made in full; the commitment was left hanging. On Schengen she was blunter: the treaty would be cancelled. Which tells you something about where the party thinks its caution still pays. Even leaving the financing question aside, it remains completely unclear what kind of economic policy a state – or the country – would get with the AfD in government.

### Why the three state elections matter for national politics

The direct impact on the German economy from the September elections will be very limited. At best, new state governments could undermine support for the federal reform package and slow implementation, or eventually derail it. The indirect impact could be much larger. Beyond the symbolic effect one or several AfD wins would have on foreign investor sentiment, there are potential reactions inside the parties themselves that could slow reform further and eventually bring down the federal government. Three triggers are worth watching.

**One: the cordon sanitaire becomes expensive.** Chancellor and CDU leader Friedrich Merz has held the line against cooperation with the AfD. September's arithmetic sends the bill. If the only non-AfD majorities in Saxony-Anhalt and Mecklenburg-Vorpommern are coalitions in which the CDU governs alongside Die Linke, an ugly internal debate follows about which taboo is load-bearing: the firewall against the AfD, or the party resolution ruling out coalitions with the Left.

**Two: leadership risk becomes live.** Merz remains the least popular chancellor on record. His U-turn on the debt brake and fiscal stimulus, the gap between words and action, the slow and cumbersome reform effort and some clumsy personnel management have all drawn criticism from within his own party. Over the summer there were already rumours of an attempt to replace him after the September elections. Easier said than done – but the mere existence of the debate signals unrest, and unrest can grow.

**Three: the SPD's slowly growing existential crisis.** There is a real risk the SPD misses the 5% threshold in Saxony-Anhalt and drops out of the state parliament altogether – unprecedented, and deeply unsettling for a party leadership already short of good news. The weaker the SPD's support, the likelier an internal fight over course: press on with the government's reform agenda, or unwind much of it and take a more French approach to economic reform.

For the economy, nothing will change in September. What the elections could change is the price of everything the government still wants to do. And how much time it will have left to do it.

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FX

## FX Daily: Dollar caught between many fronts

The dollar is starting the week on a firm footing, juggling several drivers at once: the bond market remains a key focus, while trade headlines are increasingly moving currencies, especially CAD as US-Canada trade tensions keep escalating. Attention today will also turn to data, with US consumer confidence and the German Ifo survey in the spotlight



Canada's auto industry remains in the crosshairs of US trade policy

### ➔ USD: Bond market helping a small recovery

Developed currencies have started the week on a quiet note despite the abundance of headlines. The dollar continues to take cues from the US bond market, with a good session for the back-end allowing the greenback to find some support. *CNBC* reported yesterday that the Treasury may use its account at the Fed (TGA) to fund its buyback operations for long-dated debt. Our rates colleagues [argue](#) that this would not be a big deal for the bond market, as buybacks funded through bill issuance today versus buybacks funded by running down the TGA and issuing bills later are largely equivalent.

On Canada, the situation is still in the escalation phase. Trump has announced 50% tariffs on Canadian autos and parts from 1 January. The distant implementation date suggests some



caution around disrupting the auto sector ahead of the midterms, while also leaving ample room for negotiations. At the same time, both sides remain firmly in trade-conflict territory. We think the rebound in USD/CAD can extend beyond 1.390.

On Iran, the US announced a large sanctions package and, more importantly for markets, threatened other countries with economic punishment if they do not cut ties. China is the main focus here. Any serious revival of the US-China trade spat would be negative for the dollar in our view, mirroring last year's USD correlation with the issue. The US-Canada dispute could incidentally amplify that negative dollar reaction.

On the data side, along with some housing figures, we will look at August consumer confidence figures following soft prints in June and July. The balance of risks for the dollar remains skewed to the downside, but our baseline is for further consolidation into the Jackson Hole risk event later this week.

*Francesco Pesole*

### ➔ **EUR: Still a bit expensive**

Our models suggest the short-term fair value for EUR/USD sits just below 1.160, an indication there is probably some – albeit contained – risk premium on the dollar linked to the US Treasury buyback announcement from last week. That helps our view that EUR/USD is more likely to stabilise than take another leap higher – i.e. above 1.170 – at this stage.

On the macro side, the German Ifo is in focus this morning. Remember that the index has shown some improved optimism in the German business environment this summer, and expectations are of another robust read.

*Francesco Pesole*

### ➔ **GBP: Volatility may stay subdued**

EUR/GBP has gradually eased back to the pre-UST buybacks 0.8550-60 area – a signal the positive premium on the euro has been scaled back. If calm is indeed restored in the bond market, expect the pair to return to tracking short-term rate differentials closely.

That could mean a low volatility environment though, as the UK calendar is rather empty for the next couple of weeks. Anyway, we retain a preference for higher EUR/GBP as market pricing for 32bp of Bank of England tightening by year-end remains too hawkish. We still expect no hikes and a move to 0.870 in the coming months on the back of dovish repricing in the GBP front end.

*Francesco Pesole*

### **AUD: Limited dovish room ahead of CPI release**

Australia releases July inflation data at 02:30 BST tomorrow. Consensus expects headline CPI to slow from 3.8% to 3.3%, although the volatility of the series means the trimmed mean is likely to attract greater attention. Expectations are for a modest easing from 3.6% to 3.5%.

In our view, such an outcome would remain consistent with our call of no further RBA hikes this year as inflation continues to moderate. At the same time, it is unlikely to be enough for Governor Michele Bullock to adopt a more dovish tone.

Bullock has remained notably hawkish, yet markets continue to price only a 50% probability of a hike by year-end. Even a small inflation surprise could narrow the gap between market pricing and Bullock's rhetoric, providing near-term support for AUD.

More broadly, we remain constructive on AUD/USD. Our 0.72 end-3Q target has nearly been reached sooner than expected, but strong fundamentals and attractive carry still make a move above the May 0.7260-70 highs before year-end a compelling scenario.

*Francesco Pesole*

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## THINK economic and financial analysis

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COMMODITIES DAILY

## The Commodities Feed: Oil shrugs off Bessent's 'D-day' plan for Iran

Oil prices drifted lower yesterday despite renewed US plans to tighten economic pressure on Iran. Meanwhile, anxiety is building in Europe's gas market as storage levels look increasingly fragile heading into the heating season



### Energy - EU gas prices continue to move higher

Oil prices are steady this morning, holding onto yesterday's losses after ICE Brent closed 2.35% lower. The market seems largely unfazed by Washington's push for tighter economic pressure on Iran, with traders treating the US effort to nudge partners away from Iranian trade as marginal rather than market-moving. The US announced more than 70 Iran-related sanctions and is threatening secondary sanctions on those that do not cut trading ties with Iran. However, China is the largest buyer of Iranian energy. It remains unclear whether the US would risk a fragile trade truce with Beijing over secondary sanctions. The market is still awaiting further details on a possible timeline for trading partners to wind down ties with Iran.

Supply concerns continue to grow in the European natural gas market, particularly with storage levels, as the region moves closer towards the heating season. TTF front-month futures settled more than 3.7% higher yesterday, with prices breaking above EUR68/MWh and

to their highest level since March. EU gas storage is a little under 63% full, below the 5-year average of 80% and also lower than the almost 76% seen at the same stage last year. At the current rate, it will be difficult for the EU to hit even the lower storage target of 75% ahead of the heating season. This raises the prospects of forced buying, increasing upside risk for gas prices.

### **Metals – Copper supported by fresh LME inventory drawdowns**

Copper edged higher after fresh withdrawals from LME warehouses renewed concerns over tight exchange inventories. LME cancelled warrants increased by 51.4kt, the largest daily rise since May. Most cancellations were concentrated in US and Asian locations. The move follows last week's squeeze in the nearby market, which pushed prompt premiums to record levels.

Recent deliveries into LME warehouses helped ease some of the tightness. However, the latest withdrawal suggests that any recovery in inventories may prove temporary. Inventory movements remain a key focus, with exchange stocks still relatively low.

Copper remains supported by strong metal flows into the US. Elevated US premiums are encouraging shipments into the country, tightening availability elsewhere.

Meanwhile, record-high prices are raising demand concerns, particularly in China. Physical market conditions remain healthy, but buyers are becoming more cautious as prices continue to climb.

Copper has also found support from a weaker US dollar and remains up almost 15% year-to-date.

For now, tight inventories and continued US-bound flows remain the dominant drivers, leaving the market vulnerable to further bouts of tightness and volatility.

### **Agriculture – Corn rises on lower yield expectations**

CBOT corn prices extended their rally yesterday, as expectations for a smaller US harvest and ongoing Black Sea tensions raise supply concerns. The recent Pro Farmer crop tour pegged the US corn crop at 15.3bn bushels with an average yield of 173.2bu/acre, well below the USDA's production estimate of 16.01bn bushels and yield estimate of 180.7bu/acre.

EU corn yields are set to weaken further, with the European Commission's latest MARS crop report estimating output at 6.61t/ha, down from a previous projection of 6.93t/ha, and below the five-year average of 7.1t/ha. Persistent hot and dry weather across Western and Central Europe significantly reduced summer crop yields. Yield estimates for wheat rose from 5.66t/ha to 5.68t/ha, in line with the five-year average.

Meanwhile, the Indian Sugar Mills Association (ISMA) lowered its 2025/26 gross sugar

production forecast to 30.9mt from an initial estimate of 34.5mt (including volumes diverted to ethanol production). It cited adverse weather, lower cane yields, and weaker sugar recovery rates. Annual domestic demand is estimated at 28 to 28.5mt. To bolster domestic availability and curb prices, the government has introduced a duty-free import window, tightened stock-holding limits, continued special crushing operations, and facilitated an early start to the new harvest.

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Article | 24 August 2026

RATES SPARK

## Rates Spark: It's about bigger buybacks, not how its financed

Deployment of the Treasury General Account as a financing mechanism for buybacks is an option. But really, it's no different to structural financing through bills, especially as the buffer is re-built. It's all about timing. That apart, eurozone growth may not grab headlines, but is beating consensus, adding to the upward pressure on euro rates



The best way to view effect of the buyback is by a narrowing of the swap spreads, which has already happened

### The Treasury buyback story gets ballooned by talk of TGA deployment

We opined on talk that the US Treasury could deploy its deposit balances to finance buybacks of Treasuries [here](#). We make the basic point that deployment of financing from the Treasury General Account (TGA) does not have a material effect on the potential for buybacks. They could just as easily be financed through bills issuance. The key messaging here is not on how the buybacks are financed, but on the threat that the buybacks could be increased again, and again, in the future should the US Treasury deem it a suitable policy. It kicks off from 9 September, and is liable to be more than double to begin with in any case, as already intimated by the Treasury Secretary.

Has the policy been effective? The absolute level of Treasury yields is of course relevant, but is only part of the story. The best way to view the effect of the buyback policy is through swap spreads. As Treasury yields fall relative to SOFR rates, the swap spread narrows, and that is what has happened. The 30yr swap spread tightened by 4bp when the doubling of long-end buybacks was announced. And narrowed by a further 3bp through Monday. In our opinion, this outcome is not because of talk of financing buybacks through the TGA. It's because such talk gives the clear impression that the buyback programme could be further expanded in the months ahead.

### Improving eurozone growth adds to upward rates pressure

US headlines continue to grab markets' attention, but the underlying growth story in the eurozone should not be ignored, albeit the signals are more subtle. The eurozone's economic data have consistently beat consensus expectations over the past few months. In fact, the last time economic surprises were this much tilted into positive territory was in 2023. Of course, one could argue that expectations are also more subdued given the ongoing geopolitical turmoil and the consequential higher energy costs. But still, even in absolute terms, data such as PMIs are mostly well in positive growth territory.

An improving growth picture combined with still very positive market sentiment means more upside risk for euro rates. Even the release of Germany's Ifo survey outcomes on Tuesday could contribute to the drift higher. A further improvement in the German economic outlook would give confidence to the European Central Bank regarding a potential rate hike in September. So unless oil and gas prices make a significant turn lower, euro rates are unlikely to ease for now.

### Tuesday's events and market view

In terms of data, EUR rates will mainly focus on Germany's Ifo business sentiment indicator. Last week's flash PMI had seen the services sector disappoint, but it saw a surprisingly strong reading for manufacturing.

In the US, we will be getting the Conference Board's consumer confidence index for August, along with the July new home sales and building permit numbers. The Fed's Barkin will be speaking on two occasions.

In the government bond primary markets, Germany will auction €5bn in 2y bonds while the UK sells £4bn in 7y gilts. The US auctions US\$69bn of new 2y notes.

The broader Sovereign, Supranational and Agency (SSA) market also remains active. We have seen mandates from German Land Berlin (10Y) and French Ile de France Mobilites (10y EuGB) at the start of the week. From the Supras, the World Bank



mandated a new EUR bond (10y sustainable) while the ESM is in the market for a new 5y US\$ bond.

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RATES SPARK

## Rates Spark: US long-end under increasing scrutiny

US and EUR long-end yields remain under pressure from fiscal concerns, resilient growth, energy risks and renewed supply, keeping bearish steepening risks intact even as benign US inflation supports the front end



Long-end yields remain under pressure amid fiscal concerns

### US: A bearish steepening theme is more likely to persist

The US long end will remain under scrutiny. The US Treasury's attempt to dampen the rise under the guise of scaled-up liquidity operations has only drawn more attention to the underlying issue, the growing debt load and the limited ability or willingness to rein in the US deficit. While it has been signalled that some announcements to cut back on wasteful spending will be made in coming days, without a big rethink coming from Congress, we are only looking at trimming the edges.

There are other factors aggravating the situation in bond markets, such as the tech-related issuance (markets will be paying attention to this week's earnings) and, on the monetary policy side, the ongoing concern with inflation. On the latter, some of the heat has come off though. The market will be looking to the Federal Reserve's favoured inflation measure, the core PCE, this Wednesday. But the CPI release has already been benign alongside other indicators, e.g. producer prices.

That means Fed Chair Kevin Warsh might be under less pressure to provide the clarity the market is seeking when he delivers his speech at this year's Jackson Hole conference on Friday. The market is down to discounting 10bp of tightening for September, which translates into the implied probability of a hike of 40%. At the start of this month, we were above 70%.

Overall, the front end might stay better supported, but the issues plaguing the long end are not going away. We think this leaves a curve twisting steeper or even outright bearish steepening theme intact as our base case. We had flagged last week that 10y US Treasury yields could well test beyond the 4.75% towards 5%.

### **EUR: The long-end has been an issue, but there is no letup in short-end pressure**

Elevated deficits and high debt loads are not only a US issue, but something European bond markets have grappled with for some time already. France and Italy are the main concern currently, but even Germany is facing scrutiny with record-high issuance planned also in the years ahead. 10y Bund yields have risen to above 3.25% over the past week, the highest since 2011, albeit in a less volatile fashion.

The underlying energy situation, with increasing concerns surrounding gas prices, remains a more meaningful driver in the near term that keeps the market's pricing of the European Central Bank aggressive even beyond the September meeting. And we are likely to see an energy-related rise in the flash CPIs coming from the individual countries this week, keeping that pressure alive. On the growth side, the latest round of flash PMIs pointed to an economy staying surprisingly resilient, offering the rates market little relief. We will be looking to Germany's Ifo release on Tuesday, but even here, the consensus is looking for a small improvement.

A more technical driver that has perhaps played more into the timing of the rise in bond yields is the resumption of issuance activities after the summer break. We have seen the first government bond syndicated issuances, including a German 30y tap. But the broader SSA market has also gained steam with German issuers testing the waters.

### **Monday's events and market view**

It will be a slow start to the week in terms of scheduled calendar events. We will be mainly looking for headlines around the US deficit, with officials having touted coming announcements to curb spending. On the geopolitical front, Treasury Secretary Scott Bessent will provide more detail on US plans to increase the economic pressure on Iran in a press conference today.

In the primary government bond markets, Belgium will auction 5y, 10y and 20y bonds for a total of €2.6-3bn.

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Article | 24 August 2026

FX

## FX Daily: Dollar soft, US policy in spotlight

The dollar opens the week on a soft footing as the market awaits fresh policy updates from the White House. These include economic D-Day for Iran and perhaps some kind of US fiscal consolidation plan promised after stress in the Treasury market last week. Most paths seem to lead to a weaker dollar, but Kevin Warsh's speech on Friday could prove supportive.



There may still be room for further USD long-squeezing, and we remain reluctant to call the bottom in this dollar selloff just yet

### ↓ USD: US economic policy in focus

It has been a quiet start to the week in Asia, but the dollar remains near its recent lows. We made the point last week that we tend to favour a more [pro-risk, benign dollar decline](#) than some, but there are many in favour of sharper dollar losses on a return of the 'debasement' trade. That could be tested later today, with US Treasury Secretary, Scott Bessent, announcing a new set of sanctions on Iran. With a new chapter in the US-Canada trade war opening up over the weekend, the question will be to what degree the new sanctions on Iran threaten US trade ties with China again, where China remains the largest buyer of Iran's energy imports. Given the febrile mood in the market and positioning, a big re-escalation in the tariff war is

probably a dollar negative.

The other big US policy announcement in focus is the prospect of fiscal consolidation dangled by Bessent last week. Given Washington's firmly pro-growth mind-set, few expect any substantial spending cuts or tax rises, with the burden probably placed on efficiency gains. Clearly, the US Treasury market is not out of the woods yet and this week the focus will also be on Thursday's \$44bn auction of seven-year Treasuries.

Also, important this week are Wednesday's release of US core PCE inflation for July and Friday afternoon's keynote speech from Kevin Warsh at the Jackson Hole symposium. While he is unlikely to shed much/any light on what the Fed will do with monetary policy next month, he will have to double-down on the Fed's inflation-fighting credentials - this after his July press conference triggered a sell-off at the long-end of the Treasury market. The speech could be a hawkish event risk for the dollar.

DXY dollar index can probably see further consolidation in a 98.50-99.00 range today, with greater risk seen on the downside.

Chris Turner

### ↑ **EUR: Positioning favours the euro**

Latest positioning data from the futures market in Chicago points to asset managers and leveraged funds buying euro contracts. The amounts are not particularly large and the data does predate last Wednesday's jump in EUR/USD, but this does serve as a reminder that speculators look quite underweight the euro. This was the same conclusion we drew when looking at the [EUR/USD hedging data](#).

On the calendar this week is the release of the August German IFO tomorrow. Like the [Eurozone PMIs](#), this is expected to continue its recovery after the sharp drop witnessed in March and April.

We do not really see the need for EUR/USD to come back sharply under support at 1.1660/70 today, but last week's break-out area would be the risk if risk assets started to suffer. At present, we are happy with our [current forecasts](#) for EUR/USD at 1.17 end September and 1.18 for end year - but will be reviewing those this week.

Chris Turner

### ↓ **CAD: Trade war escalates**

Trade negotiations between the US and Canada have temporarily broken down, with both sides re-imposing tariffs on the other. As a smaller, more open economy, Canada has more to lose from this, but Prime Minister Mark Carney seems to have opened the door to more fiscal



stimulus to support affected business.

After a very strong run recently, the Canadian dollar has come under some pressure. The correction in USD/CAD could extend to the 1.380/3910 area, but we suspect USD sellers will return there.

Chris Turner

### ➔ TRY: CBT restarts one week repo operations

In some welcome news out of Turkey, the Central Bank of Turkey announced over the weekend that it would be restarting the one-week repo operations. This means that funding operations switch to the 37% policy rate and away from the 40% overnight lending rate. Recall that the one-week repo operations were suspended in early March at the outbreak of US-Iran hostilities and the CBT effectively delivered a 300bp rate hike.

A return to more traditional funding policy looks to be a sign of confidence from local policymakers. TRY short-dated implied yields have dropped on the news and those positioned in the carry trade, expecting the lira to outperform the forwards, will likely stay invested.

Chris Turner

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Article | 24 August 2026

HUNGARY

## National Bank of Hungary preview: More clues for more cuts

Hungary's 'mini rate cut cycle' is coming to an end, but further easing remains likely, particularly because of the recent improvement in inflation. The central bank will probably wait for the September forecast update before committing. We see a below-5% base rate by year-end



Mihaly Varga, Governor of the National Bank of Hungary

### Our call

In line with the central bank's commitment to a summer 'mini rate-cut cycle', another rate cut in August will come as little surprise. Since the July meeting, the macro and market backdrop has done nothing but strengthen the case for an expansion of the rate cut cycle. However, one step at a time: we anticipate a 25bp reduction in the base rate, taking it down to 5.50% on 25 August.

Looking ahead, Governor Varga said that the next key moment for monetary policy would be the September Inflation report and its updated staff projections. We do not doubt that, when the time comes, the central bank will express even greater optimism about the inflation trajectory. July's headline inflation print of 1.2% YoY was even lower than the central bank's latest forecasted uncertainty band for the data. This suggests that the inflation path will need to be revised downwards further over the monetary policy horizon, with energy prices and the

EUR/HUF exchange rate remaining more or less unchanged (even though volatility has remained elevated).

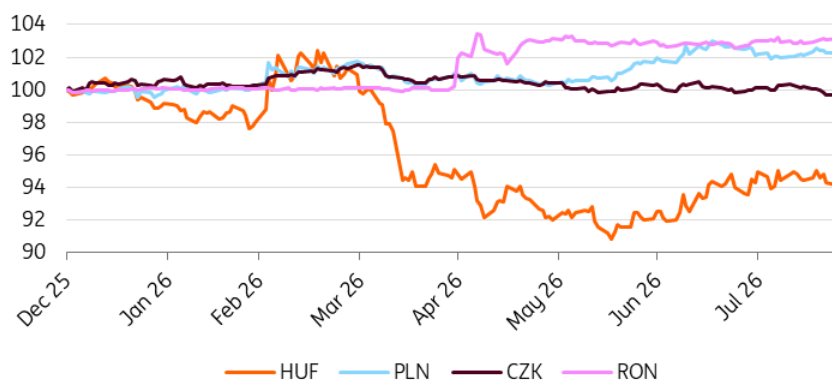
### **We forecast a terminal rate of 4.75% for this year.**

Against this backdrop and assuming there are no black swan events in the form of another geopolitical or energy crisis, we forecast a 'mid-sized' rate cut cycle involving three further cuts following the move in August. At a local level, we believe that Hungary could receive further structural market support if the right steps are taken to secure as much RRF funding as possible, and if this year's budgetary revision is both honest and credible. Therefore, we forecast a terminal rate of 4.75% for this year, which would still provide a sufficient risk premium and positive real interest rate to preserve market stability.

### **Our market views**

The Hungarian forint repeatedly tested the 366 EUR/HUF level in August, its weakest level since the April elections. A mix of global geopolitical uncertainty, local energy supply concerns and crowded long positioning pushed EUR/HUF higher. Despite higher rate volatility, markets still keep a dovish bias on Hungary relative to the rest of the region, leaving the overall backdrop unfavourable for the forint.

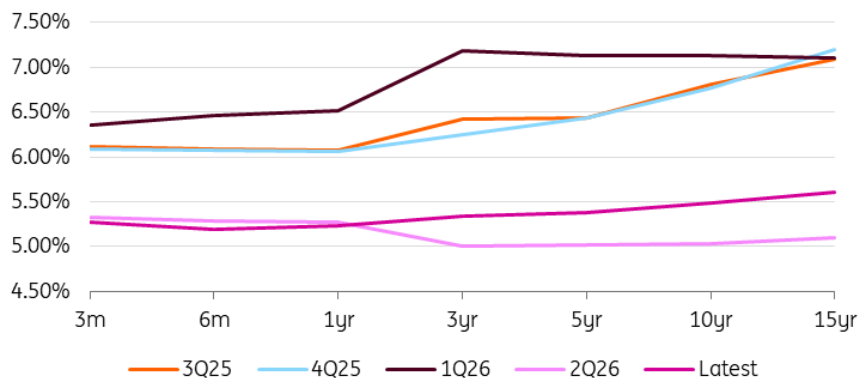
### **CEE FX performance vs EUR (end-2025 = 100%)**



Source: NBH, ING

That said, most of these headwinds should prove temporary, and we expect market sentiment to turn more supportive again. In our view, EUR/HUF remains range-bound, with less scope for a rally than in fixed income. Still, levels above 364 look cheap if global sentiment improves.

## Hungarian yield curve



Source: GDMA, ING

Rates now price in around 70bp of easing, including the August meeting, keeping Hungary an outlier within EMEA. Despite repeated downside inflation surprises, markets have stayed cautious amid geopolitical risks and reduced rate cut bets in July and August. We see scope for more easing to be priced in and for the curve to steepen, although – as with FX – this depends on some improvement in global sentiment.

## Some background

[Inflation edged lower again in July](#) despite the global energy price shock sparked by geopolitical tensions. The forint's strength continues to exert a powerful stabilising influence on prices, prompting us to revise our inflation outlook lower once more. We now forecast average inflation of just 1.7% in 2026, reinforcing our conviction that substantial monetary easing remains on the cards for the rest of the year. Meanwhile, [second-quarter GDP](#) data offered little evidence of an overheating economy or any imminent build-up of demand-driven inflation pressures.

Recent forint volatility is a reminder that the central bank cannot afford to be complacent. But even after EUR/HUF neared 367, it has recovered on the back of global sentiment. It is now hovering around the levels seen at the previous rate-setting meeting, around 362. The same can be said about Hungarian government bond yields, which have been fluctuating in a tight range over the last month.

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Article | 21 August 2026

COMMODITIES, FOOD &amp; AGRI

## Is gold back?

Gold has rebounded sharply from its July lows, supported by renewed investment demand and growing unease over the US fiscal outlook. But persistent inflation and the possibility of further Fed tightening mean the recovery is unlikely to be straightforward



Growing concerns over the US fiscal situation and investment demand are giving momentum to gold prices

### Fiscal risks give gold fresh momentum

Gold has climbed from around \$4,000/oz in mid-July to around \$4,600/oz, returning to levels last seen in May.

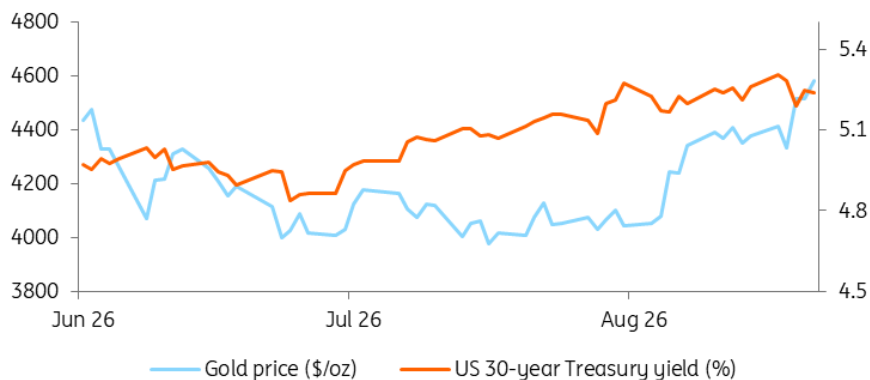
The latest move followed the US Treasury's decision to increase its purchases of longer-dated government debt. The maximum size of buyback operations in the 10-to-30-year segment will rise from \$2bn to at least \$4bn, with Treasury Secretary Scott Bessent signalling that the programme could be expanded further.

The bond-market impact proved short-lived, with long-term yields subsequently recovering much of their decline. Gold, however, continued to strengthen.

In our view, gold's resilience suggests that the rally is not simply a response to lower yields. The prospect of larger Treasury buybacks has refocused attention on government borrowing and fiscal credibility. It has also revived concerns about currency debasement, reinforcing

gold's appeal as a store of value.

## Gold rebounds despite elevated long-term yields



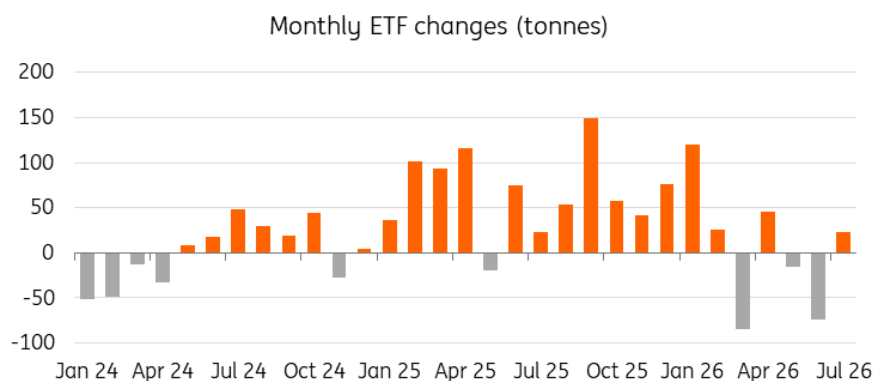
Source: Refinitiv, ING Research

A weaker dollar and lower short-term yields have helped gold rebound after prices found support around \$4,000/oz in mid-July. Softer US data have also revived expectations that the Fed could begin easing policy in 2027.

## Investment demand is recovering

The improvement in ETF demand is another positive signal. Global gold-backed ETFs attracted \$3bn in July, lifting their holdings by 23 tonnes, according to the World Gold Council.

## Gold ETF inflows return



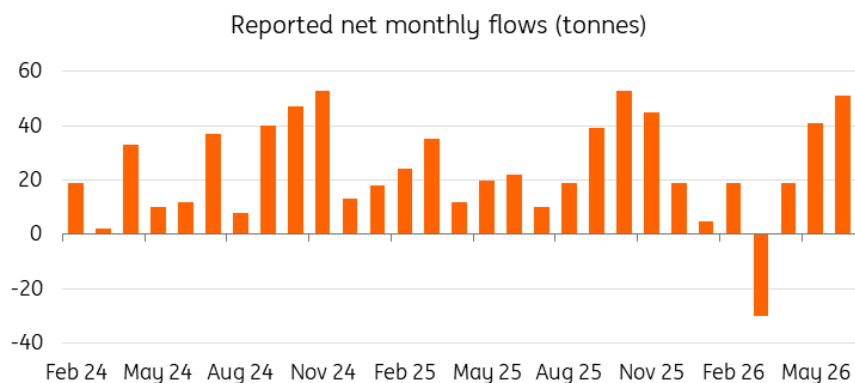
Source: WGC, ING Research

The recovery has continued into August. Funds tracked by Bloomberg added around 18 tonnes on Thursday alone, their strongest daily accumulation in almost a year.

Central banks also remain a significant source of demand. Reported net purchases reached 51

tonnes in June, taking the first-half total to 102 tonnes, with Poland and China leading the buying. We expect official-sector buying to continue supporting the market, but further gains will increasingly depend on whether Western investors maintain their renewed interest in gold.

### Central bank purchases rebound



Source: WGC, ING Research

### Inflation remains the main headwind

The rally still faces headwinds. Rising energy prices are adding to US price pressures and could keep monetary policy restrictive for longer.

[Minutes from the Fed's July meeting](#) showed that some policymakers favoured an immediate rate increase, while others were prepared to support further tightening if inflation remained elevated.

The Fed's annual Jackson Hole symposium from 27 to 29 August will be closely watched. Any indication that policymakers are becoming more willing to raise rates would risk lifting yields and the dollar. A greater focus on growth or financial stability would be more supportive for gold.

### Upside risks to our outlook are growing

Our forecast of \$4,150/oz for the fourth quarter (average price) assumes that persistent inflation keeps US monetary policy restrictive and prevents a sustained fall in yields. However, renewed ETF buying, a weaker dollar and mounting fiscal concerns are creating increasingly clear upside risks to our outlook.

Gold's correction appears to have found a floor. Renewed ETF buying and its resilience despite elevated yields suggest the recovery is on firmer footing, but further gains will depend on whether investment demand continues to build and how the Fed responds to persistent inflation.

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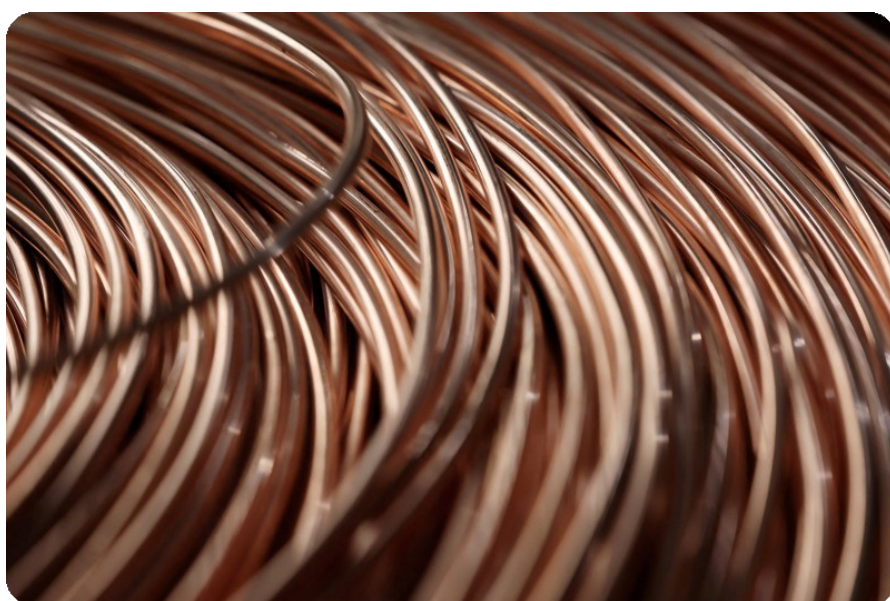
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Article | 7 August 2026

COMMODITIES, FOOD &amp; AGRI

## Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test



Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

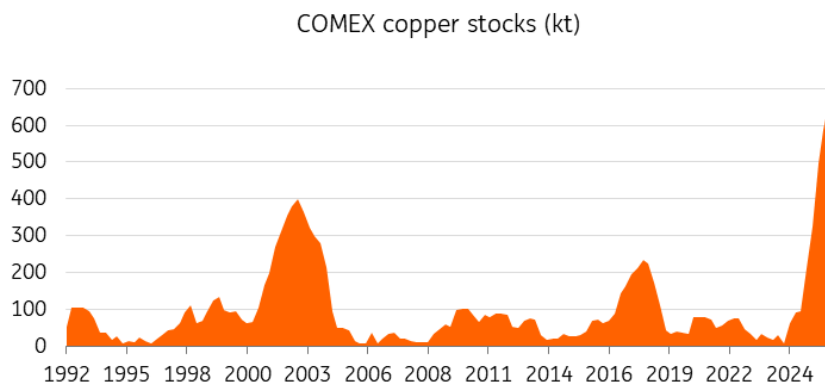
Copper is trading above \$14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

In our June note, [What's next for US copper import tariffs?](#), we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

### Tariff expectations remain a key market driver

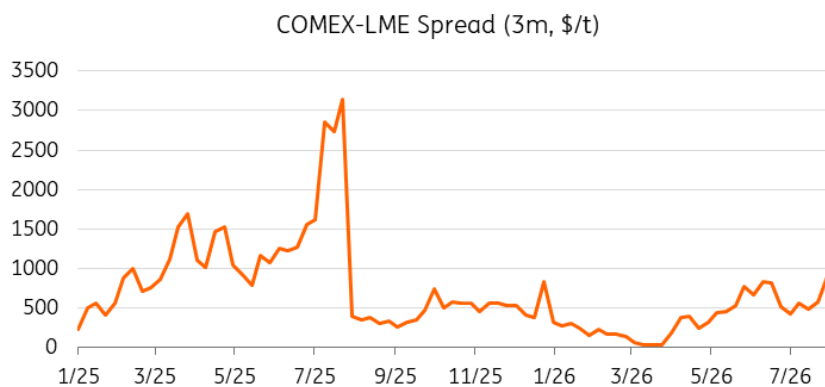
Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

## COMEX inventories reach record highs



Source: COMEX, ING Research

## Wide COMEX-LME spread continues to attract copper into the US

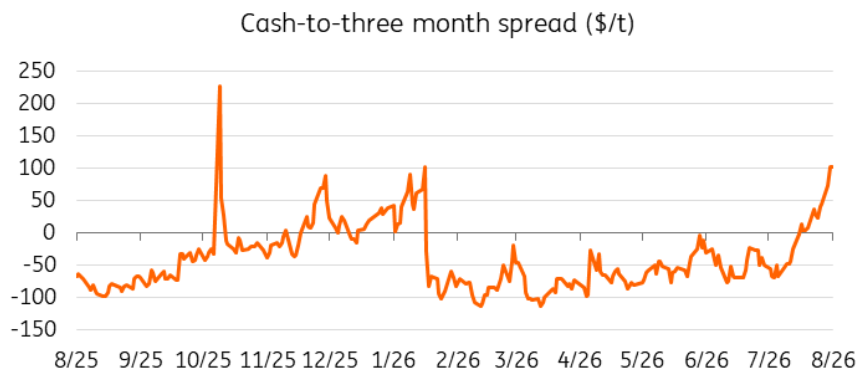


Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around \$120/t backwardation – up from about \$40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.



## Nearby copper market tightens



Source: LME, ING Research

## LME inventories continue to decline



Source: LME, ING Research

## Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

### The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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